

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

HANLON SCULPTURE STUDIO, *Complainant*

v.

SAE WORLDTRANS LOGISTICS F/K/A WORLDTRANS,
Respondent.

DOCKET NO. 18-09

Served: November 28, 2018

BEFORE: Erin M. WIRTH, *Administrative Law Judge.*

ORDER DENYING MOTION TO DISMISS AND SCHEDULING ADDITIONAL FILINGS

I. Motion to Dismiss

On November 12, 2018, Respondent SAE WorldTrans Logistics (USA) Inc. filed a Reply in Support of Motion to Dismiss the Complaint (“Motion”). On November 19, 2018, Complainant Hanlon Sculptures Studio filed a Response to Respondent’s Motion (“Opposition”). The Opposition was filed only by paper and therefore delivery was delayed. On November 28, 2018, Complainant sent an email, copied to Respondent, requesting a conference. This request was not properly filed and is summarily dismissed.

SAE WorldTrans Logistics (USA) Inc. asserts that it is a separate entity, with different ownership and different FMC licenses, from WorldTrans Services, Inc.; that WorldTrans Services, Inc. sold its international business to SAE WorldTrans Logistics (USA) Inc. in 2018 when it was formed; and that the sale agreement stated that the buyer is not accepting or assuming any liability of the seller. Motion at 1-2.

Complainant argues that WorldTrans has “simply vanished into thin air;” operates out of the same address with the same employees as SAE WorldTrans Logistics; and that it may be appropriate to pierce the corporate veil. Opposition at 1.

Although the Commission’s Rules of Practice and Procedure (“Rules”) do not explicitly provide for motions to dismiss, Rule 12 permits reference to the Federal Rules of Civil Procedure for situations which are not covered by a specific Commission rule. 46 C.F.R. § 502.12. The standard used in Commission proceedings mirrors the standard used for evaluating motions to dismiss raised in federal courts. *See, e.g., Tienshan, Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd.*, FMC No. 08-04 (ALJ April 23, 2010) (Memorandum and Order on Respondent Tianjin Hua Feng Transport Agency Co., Ltd.’s Motion to Dismiss Pursuant to F.R.C.P. 12(b)(1) and (6) for Lack of Subject Matter Jurisdiction and for Failure to State a Claim for Relief).

“To survive a motion to dismiss, a complaint must contain sufficient factual matter, accepted as true, to ‘state a claim to relief that is plausible on its face.’” *Ashcroft v. Iqbal*, 129 S. Ct. 1937, 1949 (2009) (quoting *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570, 127 S. Ct. 1955, 1974 (2007)). “A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.” *Iqbal*, 129 S. Ct. at 1949 (quoting *Twombly*, 550 U.S. at 555). “When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 129 S. Ct. at 1950.

The complaint lists the parties, basis for jurisdiction, specific factual allegations, specific alleged violations, and damages. Complaint at 1-3. At this stage in the proceeding, no discovery has occurred. The complaint will not be stricken at this time, although Complainant is cautioned that it will have the burden to establish that the Respondent is responsible for any reparations, if a violation is established. A telephone conference is not necessary for resolution of this issue.

II. Joint Status Report

After an answer is filed, the parties are required to meet and confer prior to filing their joint status report. As explained in the initial order issued on October 22, 2018, the joint status report should include a proposed schedule which allows issuance of an initial decision by October 21, 2019.

As the parties are aware, this office received an email indicating that they were not pursuing mediation at this time. The parties should confirm the accuracy of this statement. The parties should not state their positions on whether they agree to mediation or their settlement positions. The parties are encouraged to discuss settlement of this claim.

In the joint status report, the parties must indicate whether and how the notice of proposed rulemaking in Commission Docket No. 18-06¹ regarding the interpretation of the scope of 46 U.S.C. § 41102(c) would impact this proceeding.

In the joint status report, the parties should also address the impact of the initial decision in *Walter Muzorori v. Canada States Africa Lines Inc. (CSAL)*, Commission Docket No. 1949(F)² which discusses 46 U.S.C. § 41102(b).

In the joint status report, the parties should clarify whether the Commission would have jurisdiction over shipments transported by air, not water, and whether the damages alleged are for actual injury. See 46 U.S.C. §§ 40101, 40102, and 41305.

The complaint, motion, and opposition all fail to include page numbers. It is difficult to cite to documents that lack page numbers. All future filings must include page numbers on all pages of all documents.

¹ Available on the Commission’s docket log at www.fmc.gov/18-06.

² Available on the Commission’s docket log at www.fmc.gov/1949f.

The initial order issued in this proceeding must be reviewed by all parties. Specifically, parties are reminded that they should “file documents with the Office of the Secretary via email, priority mail, or overnight mail. In addition to filing with the Secretary, the parties should send courtesy copies to the presiding judge via email at *judges@fmc.gov*.” Initial order at 2. This will ensure that there is no delay in receiving filings.

The initial order also requires that any “request for action by the Commission or presiding officer must be made by motion, not by letter or email request.” Initial Order at 3.

III. Schedule for Filing

In the notice of filing of complaint and assignment, the Commission established October 21, 2019, as the due date for the initial decision in this matter. Therefore, the parties must act quickly and efficiently to ensure that discovery is completed in a timely fashion. Initial requests for discovery should have been filed and if they have not been, shall be served by the due date for the answer. The parties are directed to work together to resolve discovery disputes.

As discussed above, the parties shall submit a joint status report indicating the progress of discovery, a proposed discovery and briefing schedule, whether the parties are engaged in settlement or mediation discussions, addressing the issues raised above, and any other matters relevant to disposition of the case.

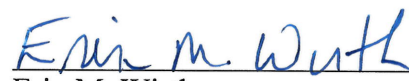
IV. Order

For the reasons discussed above, it is hereby

ORDERED that Respondent’s motion to dismiss be **DENIED**. It is further

ORDERED that an answer to the complaint be filed by December 13, 2018, and that initial disclosures be exchanged between the parties by this date. Initial disclosures should not be filed with the Commission. It is further

ORDERED that the parties file their joint status report as outlined above by January 8, 2019.


Erin M. Wirth
Administrative Law Judge